TRANSMITTAL

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Robert Smith Jr. & Lisa M. Smith - 2024 Individual Income Tax Return

Form 1040 with required schedules and forms - draft prepared for senior accountant review

2024

Prepared by: Tax Preparer (mid-level) Prepared for review by: Senior Accountant Draft date: November 6, 2026

Tax year: 2024 (calendar) Filing status: Married Filing Jointly Taxpayer SSN: 333-44-5555 Spouse SSN: 444-55-6666 Address: 123 Smith Street, San Antonio, TX 78253 (Bexar County)

RETURN SUMMARY (whole dollars)

Total income (Form 1040, line 9)	361,246
Adjustments - educator expenses (line 10)	300
Adjusted gross income (line 11)	360,946
Standard deduction - MFJ (line 12)	29,200
Qualified business income deduction - Sec. 199A REIT dividends (line 13)	43
Taxable income (line 15)	331,703
Income tax - Qualified Dividends & Capital Gain Tax Worksheet (line 16)	62,878
Child tax credit - 3 qualifying children (line 19)	6,000
Foreign tax credit $211 + child & dependent care credit $328 (line 20)	539
Additional Medicare Tax $931 + Net Investment Income Tax $1,301 (line 23)	2,232
TOTAL TAX (line 24)	**58,571**
Federal income tax withheld - 3 Forms W-2 (line 25d)	25,394
2024 estimated tax payments (line 26)	13,685
Excess social security tax withheld - Bob, 2 employers (line 31)	4,113
TOTAL PAYMENTS (line 33)	**43,192**
BALANCE DUE (line 37) - before any estimated-tax penalty and interest	**15,379**

CONTENTS - IN IRS ATTACHMENT SEQUENCE ORDER (all are included in the e-file transmission)

Form / Schedule	Seq. No.	Why it is required for this return
Form 1040	-	Main individual return, MFJ, 3 dependents
Schedule 1	01	Educator expense adjustment, $300 (Part II, line 11)
Schedule 2	02	Additional Medicare Tax (line 11) and Net Investment Income Tax (line 12)
Schedule 3	03	Foreign tax credit (line 1), child & dependent care credit (line 2), excess social security tax (line 11)
Schedule B	08	Ordinary dividends over $1,500; Part III foreign account / trust questions
Schedule D	12	Capital gains and losses from two Forms 1099-B
Form 8949	12A	Lisa 1099-B sale has a wash-sale adjustment (code W), so it cannot go directly on Sch. D line 8a
Form 2441	21	Child and dependent care expenses credit
Schedule 8812	47	Child tax credit for 3 qualifying children
Form 8995	55	QBI deduction for $214.79 of Section 199A dividends (1099-DIV box 5)
Form 8959	71	Medicare wages $353,409 exceed the $250,000 MFJ threshold
Form 8960	72	MAGI $360,946 exceeds $250,000; net investment income $34,243
Supporting statements / workpapers	-	Computations, tie-out to source documents and open items. These are not filed; they are for review.

Not included and why: Schedule A (itemized deductions of $28,727 are less than the $29,200 standard deduction; see Workpaper 4). Form 1116 (the foreign tax election is used: $211 is under the $600 MFJ limit, it is all passive income reported on a 1099-DIV, so no Form 1116 is needed). Form 6251 (tentative minimum tax $55,736 is less than regular tax $62,878; the form does not have to be attached; see Workpaper 7). Form 2210 (not attached; any penalty will be figured by the IRS or by the reviewer once the 2023 tax is known; see Open Item 3). Form 8283 (no noncash gifts). Form 1040-ES / 4868 (not part of this filing).

REVIEW NOTES

Internal firm document
Not filed with the IRS

Preparer Notes, Positions Taken and Open Items for Senior Review

Internal workpaper - not filed with the return

2024

A. OPEN ITEMS - SENIOR TO RESOLVE BEFORE FILING (listed by possible dollar impact)

1. LISA W-2 BOX 12a: THE CODE IS MISSING. Box 12a shows $26,406.43 with no code. Box 3/5 wages ($118,475.30) minus box 1 wages ($92,068.87) is exactly $26,406.43, so this is a pre-tax elective deferral, and box 13 'Retirement plan' is checked. For a public-school teacher it is probably code E (403(b)) or G (457(b)). If ALL of it is code E, it is $3,406.43 over the 2024 limit of $23,000. Lisa is 48, so the age-50 catch-up does not apply. The excess would be allowed only if she qualifies for the 15-year-service 403(b) catch-up (up to $3,000), and even then about $406 would still be over. Excess deferrals must be added to 2024 wages on Form 1040 line 1h. As prepared: box 1 is reported as issued and nothing is added on line 1h. ACTION: get a corrected W-2 or the code from the employer. If any excess is confirmed, add it to line 1h and recompute.

2. STATE AND LOCAL SALES TAX (possible itemizing benefit). Texas has no income tax, so the clients may deduct general sales tax instead. No receipts were provided, and the IRS optional sales tax table/calculator was not available to me, so no amount was used. Itemized deductions supported by documents are $28,727, which is $473 below the standard deduction. Room left under the $10,000 SALT cap is $3,252 ($10,000 - $6,748 property tax). If the table amount (plus any large purchases such as a vehicle) is more than $473, itemizing beats the standard deduction by up to $2,779, worth about $667 of federal tax at the 24% bracket. ACTION: run the IRS Sales Tax Deduction Calculator (TX, Bexar County, 5 exemptions, AGI $360,946). If it helps, switch to Schedule A. Medical (LTC) is still $0 and charity is $4,300 (see Open Item 5). Re-check AMT if you itemize.

3. FORM 2210 / ESTIMATED TAX PENALTY. Payments of $43,192 are 73.7% of the 2024 total tax of $58,571, and the balance due is $15,379 (well over $1,000). The 90%-of-current-year safe harbor is not met. AGI is over $150,000, so the prior-year safe harbor is 110% of the 2023 tax. The 2023 return was not provided, so no penalty was computed and line 38 is blank. Also, two installments were late: the 2nd-quarter payment ($3,275, due 6/17/2024) was paid 7/4/2024, and the 3rd-quarter payment ($3,455, due 9/16/2024) was paid 10/2/2024 (Workpaper 8). ACTION: get the 2023 Form 1040 total tax. Then either confirm the safe harbor was met or compute Form 2210 (annualized method if it helps) and enter it on line 38.

4. TIMING OF FILING. This draft is dated November 2026. The 2024 return was due April 15, 2025 (October 15, 2025 if extended). The intake says the clients are 'current in their tax filings.' ACTION: confirm whether this is an original return filed late or whether a Form 4868 was filed. Any payment made with an extension would go on Schedule 3 line 10; none was documented, so none was claimed. Tell the clients that failure-to-file / failure-to-pay penalties and interest may apply to the $15,379 balance. Confirm that MeF still accepts TY2024 e-files.

5. CHARITABLE SUBSTANTIATION (matters only if we itemize). $2,500 cash to the American Red Cross (September 2024) needs a contemporaneous written acknowledgment, because it is $250 or more. Church gifts of $150 x 12 = $1,800 need bank records or written receipts. No receipts were provided. There is no charitable deduction for non-itemizers in 2024.

6. LISA FORM 1099-B: THERE IS A WASH-SALE AMOUNT ON A GAIN. Box 1g shows $468.41 'wash sale loss disallowed,' but the sale (18 sh BLU-FOR Corp, bought 4/8/2019, sold 8/25/2024) is a $32,609.03 gain before adjustment. A disallowed loss normally comes from a loss sale. As prepared: following Form 8949 instructions, it is entered as reported with code W and +$468.41 in column (g). Gain is $33,077, which is the conservative choice and matches IRS document matching. ACTION: ask Retro Investing Co. whether the 1099-B is correct. A corrected 1099-B removing box 1g would lower the LT gain by $468 (about $88 of tax).

DRAFT

7. DEPENDENT CARE PROVIDER LOCATION. The provider (Children First Child Care Center of Texas, EIN 45-4564564) is in Dallas, but the family lives in San Antonio. Please confirm the care was for the clients' children so both could work (e.g., a branch location). The statement lists 'Robert Smith,' taken to be Robert Smith III. The intake does not ask whether the $2,240 included any summer overnight camp; none is indicated.

8. Minor document discrepancies (no tax effect): the LTC insurer letter shows ZIP 78523 (the return uses 78253); Lisa's 1099-DIV payer TIN shows 10 digits ('11-75252525'); and the name on Bob's 1099-B is 'Robert Smith' without 'Jr.' (the SSN matches). Presidential Election Campaign: the clients did not answer, so neither box is checked. Refund/direct deposit: not applicable (balance due). Bank details for electronic payment were not provided; assume a check or IRS Direct Pay.

9. Educator expenses: Lisa (middle-school teacher) spent about $730 on classroom expenses. The deduction is capped at $300 per eligible educator (Schedule 1 line 11). The $430 above the cap is not deductible federally. Assumes she worked at least 900 hours in 2024 and has receipts. Please confirm.

B. POSITIONS TAKEN / TECHNICAL CONCLUSIONS

- Filing status: Married Filing Jointly. The clients were married at year end, did not live apart, and both are U.S. citizens with SSNs. Neither is age 65 or blind. Neither can be claimed as a dependent by anyone else.

- Dependents: Robert Smith III (son, born 4/7/2018), Melissa Smith (daughter, born 4/7/2018) and Judith Smith (daughter, born 6/9/2010) each lived with the clients all 12 months, the clients provided over half of their support, and each has an SSN. All three are under age 17 at 12/31/2024, so all three qualify for the $2,000 child tax credit. MAGI of $360,946 is under the $400,000 MFJ phase-out, so the full $6,000 is allowed and it is all nonrefundable (tax liability is enough).

- Child & dependent care credit (Form 2441): only care for qualifying persons under age 13 counts. Judith turned 13 on 6/9/2023, so her $600 is excluded. Qualifying expenses: Robert III $820 + Melissa $820 = $1,640 (limit $6,000 for 2 or more persons). Earned income: Bob $234,934; Lisa $92,069. AGI over $43,000, so the rate is 20%, giving a $328 credit. No dependent care benefits (W-2 box 10 is blank on all).

- Excess social security tax: Bob had two employers. SS tax withheld was $8,212.83 + $6,353.06 = $14,565.89. The 2024 maximum is $10,453.20 (6.2% x $168,600). The $4,112.69 excess (rounded to $4,113) is a credit on Schedule 3 line 11. Lisa's SS wages are under the wage base.

- Additional Medicare Tax (Form 8959): combined Medicare wages are $353,409.04. The excess over $250,000 (MFJ) is $103,409, and 0.9% of that is $931. No employer withheld Additional Medicare Tax: each employer withheld exactly 1.45%, and no single employer paid over $200,000. So Form 8959 line 24 is $0.

- Net Investment Income Tax (Form 8960): NII = interest $1,116 + ordinary dividends $6,744 + net capital gain $26,383 = $34,243. There are no investment expenses or state income tax to allocate. MAGI exceeds $250,000 by $110,946, so NIIT applies to the smaller amount, $34,243. 3.8% of that is $1,301.

- Student loan interest ($4,312, Form 1098-E, Lisa): $0 deductible. The 2024 MFJ MAGI phase-out is $165,000-$195,000, and MAGI is $360,946. The amount is shown on Workpaper 5 for completeness; it is not reported on Schedule 1.

- Long-term care premiums ($5,500 each, qualified, guaranteed-renewable policy): deductible only as a medical expense on Schedule A. The 2024 age-based limit is $890 each (Bob is 50 and Lisa is 48 at year end), for $1,780 total. That is far below the 7.5%-of-AGI floor ($27,071), so there is no benefit. The clients are W-2 employees, not self-employed, so no Schedule 1 deduction is available.

- Mortgage interest: $17,678.69 (Form 1098; loan originated 5/6/2020; $565,774 principal, which is under the $750,000 limit), so it is fully deductible if itemized. Real estate tax: $6,748.32 (1098 box 10). Both feed only the standard-versus-itemized comparison (Workpaper 4).

- Foreign tax: $211.05 (1099-DIV box 7, 'Various'). Claimed as a credit without Form 1116 under the de minimis election (Schedule 3 line 1). This beats a deduction, which would not be usable anyway with the standard deduction.

- Section 199A dividends: $214.79. QBI deduction = 20% = $43 on Form 8995. Taxable income before QBI ($331,746) is under the $383,900 MFJ threshold, so the simplified Form 8995 is used. Assumes the 45-day holding period was met.

- Capital gains: Bob's 11 sh EXSTCK (bought 3/8/2024, sold 7/6/2024) is a short-term loss of ($6,694). Basis was reported to the IRS and there are no adjustments, so it goes directly on Schedule D line 1a. Lisa's LT gain is $33,077 (Form 8949, Box D, code W). Net gain is $26,383, all taxed at the 15% rate through the Qualified Dividends & Capital Gain Tax Worksheet.

- Rounding: whole dollars. Where a line is a sum of several documents, cents were added first and only the total was rounded (per the Form 1040 instructions).

Form 1040

Department of the Treasury
Internal Revenue Service

U.S. Individual Income Tax Return

For the year Jan. 1-Dec. 31, 2024

2024

OMB No. 1545-0074

Filing Status

[X] Married filing jointly [ ] Single [ ] Married filing separately [ ] Head of household [ ] Qualifying surviving spouse

Your first name and middle initial	Last name	Your social security number
ROBERT	SMITH JR	333-44-5555

Spouse's first name and middle initial	Last name	Spouse's social security number
LISA M	SMITH	444-55-6666

Home address (number and street)	Apt. no.	City, town, or post office	State	ZIP code
123 SMITH STREET		SAN ANTONIO	TX	78253

Presidential Election Campaign: You [ ] Spouse [ ] (not elected; the clients did not answer) Digital Assets: At any time during 2024 did you (a) receive (as a reward, award, or payment for property or services); or (b) sell, exchange, or otherwise dispose of a digital asset (or a financial interest in a digital asset)? [ ] Yes [X] No

Standard Deduction: Someone can claim you as a dependent [ ] your spouse as a dependent [ ] Spouse itemizes on a separate return [ ] Age/Blindness: You: Born before January 2, 1960 [ ] Are blind [ ] Spouse: Born before January 2, 1960 [ ] Is blind [ ]

Dependents (see instructions) - If more than four dependents, see instructions and check here [ ]

(1) First name Last name	(2) Social security number	(3) Relationship to you	(4) Child tax credit	(4) Credit for other dependents
ROBERT SMITH III	111-22-7777	SON	[X]	[ ]
MELISSA SMITH	222-33-7777	DAUGHTER	[X]	[ ]
JUDITH SMITH	777-88-9999	DAUGHTER	[X]	[ ]

Income (Attach Form(s) W-2 here. Also attach Forms W-2G and 1099-R if tax was withheld.)

1a	Total amount from Form(s) W-2, box 1 (see instructions)	327,003
1b	Household employee wages not reported on Form(s) W-2	
1c	Tip income not reported on line 1a	
1d	Medicaid waiver payments not reported on Form(s) W-2	
1e	Taxable dependent care benefits from Form 2441, line 26	
1f	Employer-provided adoption benefits from Form 8839, line 29	
1g	Wages from Form 8919, line 6	
1h	Other earned income (see instructions) [see Open Item 1 - excess deferral, if any]	
1i	Nontaxable combat pay election	
1z	Add lines 1a through 1h	327,003
2a	Tax-exempt interest	
2b	Taxable interest (Schedule B required if over $1,500 - attached)	1,116
3a	Qualified dividends	4,898
3b	Ordinary dividends (Schedule B attached)	6,744
4a	IRA distributions / 4b Taxable amount	
5a	Pensions and annuities / 5b Taxable amount	
6a	Social security benefits / 6b Taxable amount	
6c	If you elect to use the lump-sum election method, check here (see instructions) [ ]	
7	Capital gain or (loss). Attach Schedule D if required. If not required, check here [ ]	26,383
8	Additional income from Schedule 1, line 10	0
9	**Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8. This is your total income**	**361,246**
10	Adjustments to income from Schedule 1, line 26	300
11	**Subtract line 10 from line 9. This is your adjusted gross income**	**360,946**
12	Standard deduction or itemized deductions (from Schedule A) - Standard deduction, MFJ	29,200
13	Qualified business income deduction from Form 8995 or Form 8995-A	43
14	Add lines 12 and 13	29,243
15	**Subtract line 14 from line 11. If zero or less, enter -0-. This is your taxable income**	**331,703**

Tax and Credits

Form 1040

Department of the Treasury
Internal Revenue Service

U.S. Individual Income Tax Return (continued)

For the year Jan. 1-Dec. 31, 2024

2024

OMB No. 1545-0074

16	Tax (see instructions). Check if any from Form(s): 1 [ ] 8814 2 [ ] 4972 3 [ ] ____ (Qualified Dividends and Capital Gain Tax Worksheet - see Workpaper 2)	62,878
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	62,878
19	Child tax credit or credit for other dependents from Schedule 8812	6,000
20	Amount from Schedule 3, line 8	539
21	Add lines 19 and 20	6,539
22	Subtract line 21 from line 18. If zero or less, enter -0-	56,339
23	Other taxes, including self-employment tax, from Schedule 2, line 21	2,232
24	**Add lines 22 and 23. This is your total tax**	**58,571**

Payments

25a	Federal income tax withheld from Form(s) W-2	25,394
25b	Federal income tax withheld from Form(s) 1099	0
25c	Federal income tax withheld from other forms (Form 8959, line 24)	0
25d	Add lines 25a through 25c	25,394
26	2024 estimated tax payments and amount applied from 2023 return	13,685
27	Earned income credit (EIC)	
28	Additional child tax credit from Schedule 8812	0
29	American opportunity credit from Form 8863, line 8	
30	Reserved for future use	
31	Amount from Schedule 3, line 15	4,113
32	Add lines 27, 28, 29, and 31. These are your total other payments and refundable credits	4,113
33	**Add lines 25d, 26, and 32. These are your total payments**	**43,192**

Refund

34	If line 33 is more than line 24, subtract line 24 from line 33. This is the amount you overpaid	0
35a	Amount of line 34 you want refunded to you. If Form 8888 is attached, check here [ ]	0
35b	Routing number _____ 35c Type: [ ] Checking [ ] Savings 35d Account number _____ (not applicable - balance due)	
36	Amount of line 34 you want applied to your 2025 estimated tax	0

Amount You Owe

37	**Subtract line 33 from line 24. This is the amount you owe. For details on how to pay, go to www.irs.gov/Payments or see instructions**	**15,379**
38	Estimated tax penalty (see instructions) [NOT COMPUTED - 2023 tax liability needed; see Open Item 3]	

Third Party Designee

Do you want to allow another person to discuss this return with the IRS? [ ] Yes [X] No (no designee authorized by the clients - reviewer to confirm firm policy)

Sign Here

Under penalties of perjury, I declare that I have examined this return and accompanying schedules and statements, and to the best of my knowledge and belief, they are true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

Your signature	Date	Your occupation	Identity Protection PIN
(to be signed by taxpayer - Form 8879)		SALESMAN	

Spouse's signature	Date	Spouse's occupation	Identity Protection PIN
(to be signed by spouse - Form 8879)		TEACHER	

Phone no. 222-867-5309 Email address BOBSMITH@SMITH.COM (spouse: 999-867-5309, LISASMITH@SMITH.COM)

Paid Preparer Use Only

Preparer's name	Preparer's signature	Date	PTIN	Check if self-employed
[Firm preparer - to be completed]	[signature on approval]		[PTIN]	[ ]

Firm's name	Firm's address	Firm's EIN	Phone no.
[Firm name]	[Firm address]	[Firm EIN]	[Firm phone]

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SCHEDULE 1 (Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Income and Adjustments to Income

Attach to Form 1040, 1040-SR, or 1040-NR.

2024

OMB No. 1545-0074
Attachment Sequence No. 01

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I	**Additional Income**	
1-9	Lines 1 through 9 (taxable refunds, alimony, business income, other gains, rental/K-1, farm, unemployment, other income) - none	
10	**Combine lines 1 through 7 and 9. This is your additional income. Enter here and on Form 1040, line 8**	**0**
Part II	**Adjustments to Income**	
11	Educator expenses (Lisa M Smith - K-12 teacher, Compress Middle School; $730 paid, limited to $300)	300
12	Certain business expenses of reservists, performing artists, and fee-basis government officials. Attach Form 2106	
13	Health savings account deduction. Attach Form 8889	
14	Moving expenses for members of the Armed Forces. Attach Form 3903	
15	Deductible part of self-employment tax. Attach Schedule SE	
16	Self-employed SEP, SIMPLE, and qualified plans	
17	Self-employed health insurance deduction	
18	Penalty on early withdrawal of savings	
19a	Alimony paid	
20	IRA deduction	
21	Student loan interest deduction (Form 1098-E $4,312; fully phased out - MAGI $360,946 exceeds $195,000 MFJ limit; see Workpaper 5)	0
22	Reserved for future use	
23	Archer MSA deduction	
24a-z	Other adjustments - none	
25	Total other adjustments. Add lines 24a through 24z	0
26	**Add lines 11 through 23 and 25. These are your adjustments to income. Enter here and on Form 1040, line 10**	**300**

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SCHEDULE 2 (Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Taxes

Attach to Form 1040.

2024

OMB No. 1545-0074
Attachment Sequence No. 02

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I	**Tax**	
1a-1z	Additions to tax (excess advance premium tax credit repayment, recapture amounts, etc.) - none	
2	Alternative minimum tax. Attach Form 6251 (tentative minimum tax $55,736 is less than regular tax $62,878; no AMT - see Workpaper 7)	0
3	**Add lines 1z and 2. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 17**	**0**
Part II	**Other Taxes**	
4	Self-employment tax. Attach Schedule SE	
5-10	Social security and Medicare tax on unreported tip income / wages (Forms 4137, 8919); additional tax on IRAs or other tax-favored accounts (Form 5329); household employment taxes (Schedule H); repayment of first-time homebuyer credit - none	
11	Additional Medicare Tax. Attach Form 8959	931
12	Net investment income tax. Attach Form 8960	1,301
13-17	Uncollected SS/Medicare tax on tips or group-term life; interest on tax due on installment income; Sec. 1291 / other additional taxes - none	
18	Total additional taxes. Add lines 17a through 17z	0
19	Reserved for future use	
20	Section 965 net tax liability installment from Form 965-A	
21	**Add lines 4, 7 through 16, and 18. These are your total other taxes. Enter here and on Form 1040, line 23**	**2,232**

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SCHEDULE 3 (Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Credits and Payments

Attach to Form 1040.

2024

OMB No. 1545-0074
Attachment Sequence No. 03

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I	Nonrefundable Credits	
1	Foreign tax credit. Attach Form 1040 if required (Form 1116 not required - election under $600 MFJ; 1099-DIV box 7, Yellow Rose Bank, $211.05)	211
2	Credit for child and dependent care expenses from Form 2441, line 11. Attach Form 2441	328
3	Education credits from Form 8863, line 19	
4	Retirement savings contributions credit. Attach Form 8880	
5a/5b	Residential clean energy credit (Form 5695) / Energy efficient home improvement credit (Form 5695)	
6a-6z	Other nonrefundable credits - none	
7	Total other nonrefundable credits. Add lines 6a through 6z	0
8	**Add lines 1 through 4, 5a, 5b, and 7. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 20**	**539**

Part II	Other Payments and Refundable Credits	
9	Net premium tax credit. Attach Form 8962	
10	Amount paid with request for extension to file (see instructions) - none documented; see Open Item 4	0
11	Excess social security and tier 1 RRTA tax withheld (Robert Smith Jr - 2 employers: $14,565.89 withheld less $10,453.20 maximum)	4,113
12	Credit for federal tax on fuels. Attach Form 4136	
13a-z	Other payments or refundable credits - none	
14	Total other payments or refundable credits. Add lines 13a through 13z	0
15	**Add lines 9 through 12 and 14. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 31**	**4,113**

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SCHEDULE B (Form 1040)

Department of the Treasury
Internal Revenue Service

Interest and Ordinary Dividends

Attach to Form 1040 or 1040-SR.

2024

OMB No. 1545-0074
Attachment Sequence No. 08

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I Interest (See instructions and the Instructions for Form 1040, line 2b.)

Line	1 List name of payer	Amount
1	YELLOW ROSE BANK (Robert Smith Jr - acct XXXXX7878)	40
1	TX LENDING COMPANY (Robert Smith Jr)	108
1	YELLOW ROSE BANK (Lisa Marie Smith - acct XXXXX8989)	968

2	Add the amounts on line 1 (cents added before rounding: $39.99 + $107.88 + $968.22 = $1,116.09)	1,116
3	Excludable interest on series EE and I U.S. savings bonds issued after 1989. Attach Form 8815	0
4	**Subtract line 3 from line 2. Enter the result here and on Form 1040 or 1040-SR, line 2b**	**1,116**

Part II Ordinary Dividends (See instructions and the Instructions for Form 1040, line 3b.)

Line	5 List name of payer	Amount
5	YELLOW ROSE BANK (Lisa M Smith) - Form 1099-DIV box 1a	6,744

6	**Add the amounts on line 5. Enter the total here and on Form 1040 or 1040-SR, line 3b**	**6,744**

Part III Foreign Accounts and Trusts

7a At any time during 2024, did you have a financial interest in or signature authority over a financial account (such as a bank account, securities account, or brokerage account) located in a foreign country? .... [ ] Yes [X] No

If "Yes," are you required to file FinCEN Form 114 (FBAR)? .... N/A

7b If you are required to file FinCEN Form 114, list the name of the foreign country: .... N/A

8 During 2024, did you receive a distribution from, or were you the grantor of, or transferor to, a foreign trust? .... [ ] Yes [X] No

Source: client intake questionnaire. The clients have no foreign accounts, no foreign income, and no foreign corporation interests. The foreign tax on the 1099-DIV comes from a U.S.-held fund/account.

DRAFT

SCHEDULE D (Form 1040)

Department of the Treasury
Internal Revenue Service

Capital Gains and Losses

Attach to Form 1040, 1040-SR, or 1040-NR. Use Form 8949 to list your transactions for lines 1b, 2, 3, 8b, 9, and 10.

2024

OMB No. 1545-0074
Attachment Sequence No. 12

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Did you dispose of any investment(s) in a qualified opportunity fund during the tax year? [ ] Yes [X] No

Part I Short-Term Capital Gains and Losses - Generally Assets Held One Year or Less

Line	Description	(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
1a	Totals for all short-term transactions reported on Form 1099-B for which basis was reported to the IRS and for which you have no adjustments (L&R Investment Advisors - 11 sh EXSTCK, 03/08/2024-07/06/2024)	57	6,751		(6,694)
1b	Totals for all transactions reported on Form(s) 8949 with Box A checked				
2	Totals for all transactions reported on Form(s) 8949 with Box B checked				
3	Totals for all transactions reported on Form(s) 8949 with Box C checked				

4	Short-term gain from Form 6252 and short-term gain or (loss) from Forms 4684, 6781, and 8824	
5	Net short-term gain or (loss) from partnerships, S corporations, estates, and trusts from Schedule(s) K-1	
6	Short-term capital loss carryover (none - no 2023 carryover reported by the clients)	
7	**Net short-term capital gain or (loss). Combine lines 1a through 6 in column (h)**	**(6,694)**

Part II Long-Term Capital Gains and Losses - Generally Assets Held More Than One Year

Line	Description	(d) Proceeds	(e) Cost	(g) Adjustments	(h) Gain or (loss)
8a	Totals for all long-term transactions reported on Form 1099-B for which basis was reported to the IRS and for which you have no adjustments				
8b	Totals for all transactions reported on Form(s) 8949 with Box D checked	43,877	11,268	468	33,077
9	Totals for all transactions reported on Form(s) 8949 with Box E checked				
10	Totals for all transactions reported on Form(s) 8949 with Box F checked				

11	Gain from Form 4797, Part I; long-term gain from Forms 2439 and 6252; and long-term gain or (loss) from Forms 4684, 6781, and 8824	
12	Net long-term gain or (loss) from partnerships, S corporations, estates, and trusts from Schedule(s) K-1	
13	Capital gain distributions (1099-DIV box 2a - none)	
14	Long-term capital loss carryover	
15	**Net long-term capital gain or (loss). Combine lines 8a through 14 in column (h)**	**33,077**

Part III Summary

16	**Combine lines 7 and 15 and enter the result. Gain - enter on Form 1040, line 7; then go to line 17**	**26,383**
17	Are lines 15 and 16 both gains? [X] Yes - go to line 18 [ ] No	
18	If you are required to complete the 28% Rate Gain Worksheet, enter the amount from line 7 of that worksheet (no collectibles / Sec. 1202 gain)	0
19	If you are required to complete the Unrecaptured Section 1250 Gain Worksheet, enter the amount from line 18 of that worksheet	0
20	Are lines 18 and 19 both zero or blank and you are not filing Form 4952? [X] Yes - complete the Qualified Dividends and Capital Gain Tax Worksheet in the Instructions for Form 1040, line 16. Do not complete lines 21 and 22.	
21	If line 16 is a loss, enter the smaller of the loss or ($3,000) - not applicable	
22	Do you have qualified dividends on Form 1040, line 3a? [X] Yes (not reached - line 20 answered Yes)	

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Form 8949

Department of the Treasury
Internal Revenue Service

Sales and Other Dispositions of Capital Assets

File with your Schedule D to list your transactions for lines 1b, 2, 3, 8b, 9, and 10 of Schedule D.

2024

OMB No. 1545-0074
Attachment Sequence No. 12A

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I Short-Term

No Part I transactions. Robert Smith Jr's short-term sale (basis reported to IRS, no adjustments) is reported directly on Schedule D, line 1a as permitted by the instructions.

Part II Long-Term - Transactions involving capital assets you held more than 1 year

You must check Box D, E, or F below. Check only one box. [X] (D) Long-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS [ ] (E) basis not reported [ ] (F) not reported on Form 1099-B

(a) Description of property	(b) Date acquired	(c) Date sold	(d) Proceeds	(e) Cost or other basis	(f) Code(s)	(g) Amount of adjustment	(h) Gain or (loss)
18 SH BLU-FOR CORP (Lisa M Smith - Retro Investing Company, 1099-B)	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077

2 Totals. Add the amounts in columns (d), (e), (g), and (h). Enter each total here and include on your Schedule D, line 8b (Box D above is checked). (d) 43,877 (e) 11,268 (g) 468 (h): **33,077**

Note: 1099-B box 1g reports a wash sale loss disallowed of $468.41. Per the Form 8949 instructions, it is entered as a positive adjustment with code W. Gain before adjustment is $32,609.03; gain after adjustment is $33,077.44. See Open Item 6 (amount reported on a gain - confirm with broker).

DRAFT

Form 2441

Department of the Treasury
Internal Revenue Service

Child and Dependent Care Expenses

Attach to Form 1040, 1040-SR, or 1040-NR.

2024

OMB No. 1545-0074
Attachment Sequence No. 21

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

A Check here if you or your spouse was a full-time student or not able to care for yourself [ ] B Check here if you have dependent care benefits and are claiming the credit (not applicable) [ ]

Part I Persons or Organizations Who Provided the Care

1 (a) Care provider's name	(b) Address	(c) Identifying number (SSN or EIN)	(d) Household employee?	(e) Amount paid
CHILDREN FIRST CHILD CARE CENTER OF TEXAS	777 CHILDCARE WAY, DALLAS, TX 75211	45-4564564	[ ] Yes [X] No	2,240

Did you receive dependent care benefits? [X] No - complete only Part II below.

Part II Credit for Child and Dependent Care Expenses

2 (a) Qualifying person's name (first, last)	(b) Qualifying person's SSN	(c) Under age 13 / disabled	(d) Qualified expenses incurred and paid in 2024
ROBERT SMITH III	111-22-7777	Under 13 (age 6)	820
MELISSA SMITH	222-33-7777	Under 13 (age 6)	820

Judith Smith (DOB 6/9/2010) is not a qualifying person for this credit; she was age 13 or older for all of 2024. Her $600 of care is excluded from line 2.

3	Add the amounts in column (d) of line 2. Do not enter more than $3,000 if you had one qualifying person or $6,000 if you had two or more persons	1,640
4	Enter your earned income (Robert Smith Jr - W-2 box 1, two employers)	234,934
5	If married filing jointly, enter your spouse's earned income (Lisa M Smith - W-2 box 1)	92,069
6	Enter the smallest of line 3, 4, or 5	1,640
7	Enter the amount from Form 1040, 1040-SR, or 1040-NR, line 11	360,946
8	Enter on line 8 the decimal amount shown below that applies to the amount on line 7 (over $43,000)	0.20
9a	Multiply line 6 by the decimal amount on line 8	328
9b	If you paid 2023 expenses in 2024, complete Worksheet A in the instructions (none)	0
9c	Add lines 9a and 9b	328
10	Tax liability limit. Enter the amount from the Credit Limit Worksheet in the instructions (Form 1040 line 18 $62,878 less Schedule 3 line 1 $211)	62,667
11	**Credit for child and dependent care expenses. Enter the smaller of line 9c or line 10 here and on Schedule 3 (Form 1040), line 2**	**328**

Part III Dependent Care Benefits

Lines 12-31: not applicable - no dependent care benefits reported in Form W-2 box 10 for either spouse.

DRAFT

SCHEDULE 8812 (Form 1040)

Department of the Treasury
Internal Revenue Service

Credits for Qualifying Children and Other Dependents

Attach to Form 1040, 1040-SR, or 1040-NR.

2024

OMB No. 1545-0074
Attachment Sequence No. 47

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I Child Tax Credit and Credit for Other Dependents

1	Enter the amount from line 11 of your Form 1040, 1040-SR, or 1040-NR	360,946
2a	Enter income from Puerto Rico that you excluded	0
2b	Enter the amounts from lines 45 and 50 of your Form 2555	0
2c	Enter the amount from line 15 of your Form 4563	0
2d	Add lines 2a through 2c	0
3	Add lines 1 and 2d	360,946
4	Number of qualifying children under age 17 with the required social security number	3
5	Multiply line 4 by $2,000	6,000
6	Number of other dependents, including any qualifying children who are not under age 17 or who do not have the required social security number	0
7	Multiply line 6 by $500	0
8	Add lines 5 and 7	6,000
9	Enter the amount shown below for your filing status: Married filing jointly - $400,000	400,000
10	Subtract line 9 from line 3. If zero or less, enter -0-. If more than zero and not a multiple of $1,000, enter the next multiple of $1,000	0
11	Multiply line 10 by 5% (0.05)	0
12	Is the amount on line 8 more than the amount on line 11? [X] Yes. Subtract line 11 from line 8	6,000
13	Enter the amount from Credit Limit Worksheet A (Form 1040 line 18 $62,878 less Schedule 3 lines 1-2 of $539)	62,339
14	**Enter the smaller of line 12 or 13. This is your child tax credit and credit for other dependents. Enter this amount on Form 1040, 1040-SR, or 1040-NR, line 19**	**6,000**

Part II-A Additional Child Tax Credit for All Filers

15	Check this box if you do not want to claim the additional child tax credit [ ]	
16a	**Subtract line 14 from line 12. If zero, stop here; you cannot take the additional child tax credit. Skip Parts II-A and II-B. Enter -0- on line 28 of your Form 1040**	**0**

Parts II-A (lines 16b-27) and II-B (lines 21-26): not applicable - the full child tax credit is used as a nonrefundable credit. Form 1040, line 28 = $0.

DRAFT

Form 8995

Department of the Treasury
Internal Revenue Service

Qualified Business Income Deduction Simplified Computation

Attach to your tax return.

2024

OMB No. 1545-2294
Attachment Sequence No. 55

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

1	(a) Trade, business, or aggregation name	(b) Taxpayer identification number	(c) Qualified business income or (loss)
i-v	None - no trade or business QBI		

2	Total qualified business income or (loss). Combine lines 1i through 1v, column (c)	0
3	Qualified business net (loss) carryforward from the prior year	0
4	Total qualified business income. Combine lines 2 and 3. If zero or less, enter -0-	0
5	Qualified business income component. Multiply line 4 by 20% (0.20)	0
6	Qualified REIT dividends and publicly traded partnership (PTP) income or (loss) (1099-DIV box 5, Yellow Rose Bank: $214.79)	215
7	Qualified REIT dividends and qualified PTP (loss) carryforward from the prior year	0
8	Total qualified REIT dividends and PTP income. Combine lines 6 and 7. If zero or less, enter -0-	215
9	REIT and PTP component. Multiply line 8 by 20% (0.20)	43
10	Qualified business income deduction before the income limitation. Add lines 5 and 9	43
11	Taxable income before qualified business income deduction (Form 1040 line 11 $360,946 less line 12 $29,200)	331,746
12	Enter your net capital gain, if any, increased by any qualified dividends (qualified dividends $4,898 + Schedule D smaller of line 15 or 16 $26,383)	31,281
13	Subtract line 12 from line 11. If zero or less, enter -0-	300,465
14	Income limitation. Multiply line 13 by 20% (0.20)	60,093
15	**Qualified business income deduction. Enter the smaller of line 10 or line 14. Also enter this amount on the applicable line of your return (Form 1040, line 13)**	**43**
16	Total qualified business (loss) carryforward. Combine lines 2 and 3. If greater than zero, enter -0-	0
17	Total qualified REIT dividends and PTP (loss) carryforward. Combine lines 6 and 7. If greater than zero, enter -0-	0

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Form 8959

Department of the Treasury
Internal Revenue Service

Additional Medicare Tax

Attach to Form 1040, 1040-SR, 1040-NR, 1040-PR, or 1040-SS.

2024

OMB No. 1545-0074
Attachment Sequence No. 71

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Part I Additional Medicare Tax on Medicare Wages

1	Medicare wages and tips from Form W-2, box 5 ($132,465.05 + $102,468.69 + $118,475.30)	353,409
2	Unreported tips from Form 4137, line 6	0
3	Wages from Form 8919, line 6	0
4	Add lines 1 through 3	353,409
5	Enter the following amount for your filing status: Married filing jointly $250,000	250,000
6	Subtract line 5 from line 4. If zero or less, enter -0-	103,409
7	Additional Medicare Tax on Medicare wages. Multiply line 6 by 0.9% (0.009). Enter here and go to Part II	931

Part II Additional Medicare Tax on Self-Employment Income

Lines 8-13: not applicable - no self-employment income. Line 13 = 0

Part III Additional Medicare Tax on Railroad Retirement Tax Act (RRTA) Compensation

Lines 14-17: not applicable - no RRTA compensation. Line 17 = 0

Part IV Total Additional Medicare Tax

18	**Add lines 7, 13, and 17. Also include this amount on Schedule 2 (Form 1040), line 11**	**931**

Part V Withholding Reconciliation

19	Medicare tax withheld from Form W-2, box 6 ($1,920.74 + $1,485.80 + $1,717.89 = $5,124.43)	5,124
20	Enter the amount from line 1	353,409
21	Multiply line 20 by 1.45% (0.0145). This is your regular Medicare tax withholding on Medicare wages ($5,124.43)	5,124
22	Subtract line 21 from line 19. If zero or less, enter -0-. This is your Additional Medicare Tax withholding on Medicare wages	0
23	Additional Medicare Tax withholding on RRTA compensation from Form W-2, box 14	0
24	**Total Additional Medicare Tax withholding. Add lines 22 and 23. Also include this amount with federal income tax withholding on Form 1040, line 25c**	**0**

DRAFT

Form 8960

Department of the Treasury
Internal Revenue Service

Net Investment Income Tax - Individuals, Estates, and Trusts

Attach to your tax return.

2024

OMB No. 1545-2227
Attachment Sequence No. 72

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

[ ] Section 6013(g) election [ ] Section 6013(h) election [ ] Regulations section 1.1411-10(g) election

Part I Investment Income

1	Taxable interest (Form 1040, line 2b)	1,116
2	Ordinary dividends (Form 1040, line 3b)	6,744
3	Annuities from nonqualified plans	0
4a	Rental real estate, royalties, partnerships, S corporations, trusts, etc.	0
4b	Adjustment for net income or loss derived in the ordinary course of a non-section 1411 trade or business	0
4c	Combine lines 4a and 4b	0
5a	Net gain or loss from disposition of property (Form 1040, line 7)	26,383
5b	Net gain or loss from disposition of property that is not subject to net investment income tax	0
5c	Adjustment from disposition of partnership interest or S corporation stock	0
5d	Combine lines 5a through 5c	26,383
6	Adjustments to investment income for certain CFCs and PFICs	0
7	Other modifications to investment income	0
8	**Total investment income. Combine lines 1, 2, 3, 4c, 5d, 6, and 7**	**34,243**

Part II Investment Expenses Allocable to Investment Income and Modifications

9a	Investment interest expenses	0
9b	State, local, and foreign income tax (Texas - none; foreign tax taken as a credit)	0
9c	Miscellaneous investment expenses	0
9d	Add lines 9a, 9b, and 9c	0
10	Additional modifications	0
11	Total deductions and modifications. Add lines 9d and 10	0

Part III Tax Computation

12	Net investment income. Subtract Part II, line 11, from Part I, line 8	34,243
13	Modified adjusted gross income (Form 1040, line 11; no foreign earned income exclusion)	360,946
14	Threshold based on filing status (married filing jointly)	250,000
15	Subtract line 14 from line 13. If zero or less, enter -0-	110,946
16	Enter the smaller of line 12 or line 15	34,243
17	**Net investment income tax for individuals. Multiply line 16 by 3.8% (0.038). Enter here and include on your tax return (Schedule 2, line 12)**	**1,301**

Lines 18a-21 (estates and trusts): not applicable.

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Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Workpaper 1 - Source document tie-out

Document	Owner	Key amounts (as issued)	Return location
W-2 CompanIX, EIN 12-1234567	Bob	Box 1 $132,465.05; Box 2 $9,642.23; Box 3/5 $132,465.05; Box 4 $8,212.83; Box 6 $1,920.74	1040 1a, 25a; 8959; Sch 3 l.11
W-2 Zixbo Services Group Inc, EIN 12-1234568	Bob	Box 1 $102,468.69; Box 2 $7,465.85; Box 3/5 $102,468.69; Box 4 $6,353.06; Box 6 $1,485.80	1040 1a, 25a; 8959; Sch 3 l.11
W-2 Compress Middle School, EIN 33-3213213	Lisa	Box 1 $92,068.87; Box 2 $8,286.20; Box 3/5 $118,475.30; Box 4 $7,345.47; Box 6 $1,717.89; 12a [no code] $26,406.43; 12b DD $57,342.01 (info only); Box 13 retirement plan [X]	1040 1a, 25a; 8959; Open Item 1
1099-INT Yellow Rose Bank, TIN 11-7525252	Bob	Box 1 $39.99	Sch B; 8960
1099-INT TX Lending Company, TIN 11-7654321	Bob	Box 1 $107.88	Sch B; 8960
1099-INT Yellow Rose Bank, TIN 11-7525252	Lisa	Box 1 $968.22	Sch B; 8960
1099-DIV Yellow Rose Bank	Lisa	1a $6,744.05; 1b $4,897.86; 5 (199A) $214.79; 7 foreign tax $211.05 (Various)	Sch B; 1040 3a/3b; 8995; Sch 3 l.1; 8960
1099-B L&R Investment Advisors, TIN 99-8787878	Bob	11 sh EXSTCK 3/8/24-7/6/24; proceeds $56.78; basis $6,750.88; ST; basis reported	Sch D l.1a
1099-B Retro Investing Co., TIN 99-7878787	Lisa	18 sh BLU-FOR 4/8/19-8/25/24; proceeds $43,877.03; basis $11,268.00; 1g $468.41; LT; basis reported	8949 Box D; Sch D l.8b
1098 TX Lending Company	Joint	Box 1 interest $17,678.69; box 2 principal $565,774; origination 5/6/2020; box 10 RE taxes $6,748.32	WP 4 (std vs itemized)
1098-E TX School Lending Co.	Lisa	Box 1 $4,312	WP 5 (phased out)
LTC premium letter, Texas Insurance Co.	Joint	$5,500 Bob + $5,500 Lisa paid 12/21/2024	WP 4 (medical)
Child care statement, EIN 45-4564564	Joint	Robert $820; Melissa $820; Judith $600; total $2,240	Form 2441
Estimated tax schedule	Joint	$3,380 (4/2/24); $3,275 (7/4/24); $3,455 (10/2/24); $3,575 (1/5/25)	1040 l.26 = $13,685
Intake questionnaire	Joint	MFJ; 3 dependents; Red Cross $2,500; church $150/mo; classroom $730; no digital assets / foreign accts	Various

Workpaper 2 - Qualified Dividends and Capital Gain Tax Worksheet (Form 1040, line 16)

Line	Description	Amount
1	Taxable income (Form 1040 line 15)	331,703
2	Qualified dividends (line 3a)	4,898
3	Smaller of Sch D line 15 or 16	26,383
4	Add lines 2 and 3	31,281
5	Subtract line 4 from line 1	300,422
6	MFJ 0% threshold	94,050
7	Smaller of line 1 or 6	94,050
8	Smaller of line 5 or 7	94,050
9	Line 7 minus line 8 (taxed at 0%)	0
10	Smaller of line 1 or 4	31,281
11	Amount from line 9	0
12	Line 10 minus line 11	31,281
13	MFJ 15% threshold	583,750
14	Smaller of line 1 or 13	331,703
15	Add lines 5 and 9	300,422
16	Line 14 minus line 15	31,281
17	Smaller of line 12 or 16	31,281
18	Line 17 x 15%	4,692
19	Add lines 9 and 17	31,281
20	Line 10 minus line 19	0
21	Line 20 x 20%	0
22	Tax on line 5 (Tax Computation Worksheet: $300,422 x 24% - $13,915)	58,186

Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

23	Add lines 18, 21, and 22	62,878
24	Tax on line 1 (regular tax: $331,703 x 24% - $13,915)	65,694
25	Smaller of line 23 or 24 - Form 1040 line 16	62,878

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Name(s) shown on return
ROBERT SMITH JR & LISA M SMITH

Your social security number
333-44-5555

Workpaper 3 - Excess social security tax withheld (Robert Smith Jr)

Item	Amount
CompanIX - W-2 box 4	$8,212.83
Zixbo Services Group - W-2 box 4	$6,353.06
Total withheld	$14,565.89
2024 maximum (6.2% x $168,600)	$10,453.20
Excess - Schedule 3 line 11 (rounded)	$4,112.69 -> 4,113

Workpaper 4 - Standard deduction vs. itemized deductions

Schedule A item	Documented	Allowed	Note
Medical - LTC premiums $11,000; age-based limit $890 + $890	1,780	0	Below 7.5% x $360,946 = $27,071 floor
State & local taxes - real estate tax (1098 box 10)	6,748	6,748	TX: no income tax. Sales tax not computed - Open Item 2
Home mortgage interest (1098 box 1)	17,679	17,679	Acquisition debt under $750,000
Gifts to charity - cash (Red Cross $2,500; church $1,800)	4,300	4,300	Substantiation needed - Open Item 5
Classroom expenses above $300	430	0	Unreimbursed employee expenses not deductible (TCJA)
Total itemized deductions		28,727	
2024 standard deduction - MFJ		29,200	USED (larger by $473)

Workpaper 5 - Student loan interest deduction phase-out

Interest paid $4,312, limited to $2,500. MAGI $360,946. The 2024 MFJ phase-out runs from $165,000 to $195,000, so MAGI is above the upper limit and the deduction is $0. An increase in AGI from Open Item 1 would not change this result.

Workpaper 6 - Child & dependent care qualifying expenses

Child	Jan-Apr (4 x)	May-Jun (2 x)	Jul-Dec (6 x)	Total paid	Qualifying?
Robert Smith III (age 6)	$75 = 300	$65 = 130	$65 = 390	820	Yes
Melissa Smith (age 6)	$75 = 300	$65 = 130	$65 = 390	820	Yes
Judith Smith (age 13-14)	$55 = 220	$55 = 110	$45 = 270	600	No - not under 13
Total				2,240	Qualifying: 1,640

Workpaper 7 - Alternative minimum tax check (Form 6251 not required)

Item	Amount
Taxable income (1040 line 15)	331,703
Add back standard deduction (6251 line 2a)	29,200
AMTI	360,903
Less exemption - MFJ 2024 (no phase-out; AMTI < $1,218,700)	133,300
AMT base	227,603
Ordinary portion ($196,322 x 26%) + capital gain/qualified dividends ($31,281 x 15%) = tentative minimum tax	55,736
Regular tax (1040 line 16)	62,878
AMT (tentative minimum tax in excess of regular tax)	0

Workpaper 8 - Estimated tax payments and penalty exposure

Installment	Due date	Date paid	Amount	Comment
1	04/15/2024	04/02/2024	3,380	Timely
2	06/17/2024	07/04/2024	3,275	17 days late
3	09/16/2024	10/02/2024	3,455	16 days late
4	01/15/2025	01/05/2025	3,575	Timely
Total			13,685	Form 1040 line 26

Required annual payment = lesser of 90% of 2024 tax ($52,714) or 110% of 2023 tax (unknown). Form 2210 is not attached, and line 38 is blank pending the 2023 return (Open Item 3).